

EQUIPMENT LEASE AGREEMENT

This Equipment Lease Agreement (“Lease”) is entered into by and between J.A.M Equipment LTD, (“Lessor”) and J. Rayl Transport, Inc., (“Lessee”) and hereinafter sometimes collectively referred to as (“Party or Parties”), and is effective as of January 1, 2016_ (“Effective Date”).

Intending to be legally bound, the Parties enter into this Lease with the intention of doing business with one another in accordance with the terms and condition as follows:

TERMS

1. **Equipment.** Lessor hereby leases to Lessee and Lessee hereby leases from Lessor, upon the terms and conditions set forth herein. Lessee shall be responsible for the payment of all registration, permits, licenses and base plates required to use and operate the Equipment. Lessee shall, at its expenses, maintain the Equipment in good repair and operating condition and keep the Equipment in compliance with the regulations of any Federal, State and/or municipal laws, regulations and ordinances. Lessee shall pay all personal property, sales or use taxes, business licenses, assessments, penalties and charges that may be levied in respect to the Equipment

2. **Ownership.** This document is intended to establish a True Lease and in no way or manner is to be construed as a financing agreement. Lessee shall have no right to claim the depreciation related to the Equipment; the Equipment is, and will at all times remain, the property of Lessor and Lessee will have no right, title or interest in such Equipment except as expressly set forth in this Lease. Upon expiration or termination of this Lease, Lessee shall return the Equipment to Lessor.

3. **Term and Termination.** The Term of this Lease shall be for the useful life of the vehicle and will terminate when vehicle is sold. Notwithstanding the foregoing, either Party may terminate the Agreement immediately by providing the other Party with notice at any time during the Term of this Agreement.

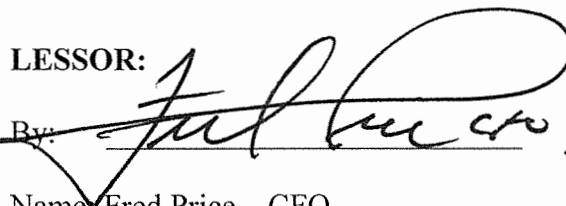
4. **Rates and Charges.** The accounts between Lessee and Lessor as they relate to the rates and charges and shall be reconciled and settled in accordance with Lessor and Lessee’s inter-company accounting ledger practices.

5. **Insurance.** Lessee shall provide physical damage insurance coverage in an amount equal to the “approximate fair market value” of the Equipment, at any given date.

IN WITNESS WHEREOF, the Parties have caused the Agreement to be executed in duplicate, signed by their duly authorized representatives as of the Effective Date, each Party retaining one original and a copy to be carried in the Equipment herein.

LESSOR:

LESSEE:

By: 

By: 

Name: Fred Price – CFO

Name: Fred Price – CFO

Its: Chief Financial Officer

Its: Chief Financial Officer